

D R A F T

**Before the
FEDERAL MARITIME COMMISSION**

Docket No. 24-07

Impact Products, LLC *et al.*, Complainants v. CMA CGM S.A., Respondent

**RESPONDENT CMA CGM S.A.'S REPLY
IN SUPPORT OF ITS SUPPLEMENTAL MOTION TO DISMISS**

Respondent CMA CGM S.A. (“CMA”), by counsel, for its Reply in Support of its Supplemental Motion to Dismiss, states as follows:

SUMMARY

Complainants’ opposition brief misses the mark. Not only does it fall short of excusing their failure to file an opening brief, but it completely dodges settled law that a bankrupt debtor is estopped from pursuing non-bankruptcy claims that it failed to disclose in its schedules. Failure to disclose is “equivalent to a statement that there were no such claims.” *Stephenson v. Malloy*, 700 F.3d 265, 274 (6th Cir. 2012). Complainants here filed bankruptcy after they initiated this case, but did not disclose it amongst their assets as required by 11 U.S.C. § 521, nor did they disclose any assignment from Laufer, and nothing in their brief even attempts to rebut these facts.

Instead, Complainants’ only argument appears to be that they have asked to substitute into this case the purchaser of their assets. But substitution does not cure a pre-sale deficiency; in fact, the finality of the sale is what makes the deficiency uncurable. *See* FMC Docket No. 29 (CMA’s Opposition to Motion for Leave to Amend Complaint). The Bankruptcy Court, creditors, and third-party bidders all already acted in reliance on Complainants’ disclosures, without nearly \$3 million in collective FMC claims included. There is simply no way to know whether the Bankruptcy Court would have approved the sale for the price it did had it known of the additional assets, whether

creditors would have objected, or whether other bidders would have appeared. This is why judicial estoppel applies to prevent Complainants (and their successors) from benefitting from the windfall of those undisclosed FMC claims now.

Complainants also cannot avoid their errors by arguing that CMA should have raised them earlier. Even if Rule 12(g) applies, the exceptions to it govern here: neither issue was ripe earlier, and both can be raised independently under Rule 12(c) anyway. CMA had no idea Complainants would not file an opening brief when it filed its original Motion to Dismiss. Nor was CMA prepared to raise bankruptcy issues at that time, as it was still waiting for Complainants to respond to its inquiries with counsel about the bankruptcy disclosures. This kind of professional courtesy should be encouraged, not punished, particularly since the bankruptcy problem exists regardless of when or how CMA raised it.

ARGUMENT

I. CMA did not have to raise the issues in its Supplemental Motion to Dismiss earlier.

As a threshold matter, Complainants are incorrect that Federal Rule of Civil Procedure 12(g) bars CMA's supplemental motion. The Commission's Rules of Procedure have express provisions addressing dispositive motions, which CMA followed in filing both its motions. *See* 46 C.F.R. 502.69 and 46 C.F.R. 502.70. Yet even if Rule 12(g) applied, its exceptions allow CMA's filing. Rule 12(g)(2) states:

Limitation on Further Motions. *Except as provided in Rule 12(h)(2) or (3), a party that makes a motion under this rule must not make another motion under this rule raising a defense or objection that was available to the party but omitted from its earlier motion.*

Fed.R.Civ.P. 12(g)(2) (emphasis added). Rule 12(h)(2) in turn permits "a motion [to dismiss] under Rule 12(c)" (judgment on the pleadings), which may be filed in addition to a motion under Rule 12(b)(6). *See* Fed.R.Civ.P. 12(c) and 12(h)(2).

In other words, even if Rule 12(g) applies, CMA's supplemental motion is proper both because (1) a filing under Rule 12(c) can be made in addition to a previous filing under Rule 12(b)(6), and (2) the basis for CMA's supplemental motion was not "available to" CMA at the time of its original filing, since CMA could not have known that Complainants would fail to file an opening brief, and the deficiencies in their bankruptcy schedules were not fully developed while CMA waited to hear from counsel about the disclosures. Either way, the issues are properly before the Commission now, and Complainants cannot avoid them under Rule 12(g).

II. Complainants' failure to disclose this case in their bankruptcy schedules bars prosecution of it now, whether by Complainants or a third-party purchaser.

A. Complainants cannot remedy their non-disclosure by substituting parties.

Complainants are wrong that failure to disclose this case in their bankruptcy schedules can somehow be remedied by substituting the new owner of their bankruptcy assets as a complainant. Because the claims in this case were not disclosed under 11 U.S.C. § 521, the Bankruptcy Court did not know about them, much less approve a sale of them.¹

Among debtor duties set out in the Bankruptcy Code, debtors are required to list potential causes of action including "any litigation likely to arise in a non-bankruptcy context." 11 U.S.C. § 521; *Krystal Cadillac-Oldsmobile GMC Truck, Inc. v. GMC*, 337 F.3d 314, 322 (3d Cir. 2003). It is well-settled that a debtor is estopped from prosecuting claims that it failed to disclose as assets in its bankruptcy case. *See, e.g., Payless Wholesale Distributors, Inc. v. Alberto Culver (P.R.) Inc.*, 989 F.2d 570, 571 (1st Cir. 1993) (judicially estopping debtor from asserting monetary claims that it previously omitted in its Chapter 11 bankruptcy schedules); *Oneida Motor Freight, Inc. v. United*

¹ As noted in a previous filing, CMA has repeatedly asked Complainants where this case was disclosed in the bankruptcy schedules, with no response. It would be entirely appropriate for this Commission to issue a show cause order to Complainants, directing them to identify where in the bankruptcy schedules this specific case was disclosed *before the asset sale*.

Jersey Bank, 848 F.2d 414, 415 (3d Cir. 1988) (affirming trial court’s order dismissing claims that debtor failed to disclose in bankruptcy).

This insistence on disclosure comes from the long-standing principle of bankruptcy law that “[d]isclosure is important ... not only to the bank as an adversary and as a creditor, but to the other creditors and to the bankruptcy court.” *Oneida*, 848 F.2d at 417. “Viewed against the backdrop of the bankruptcy system and the ends it seeks to achieve, the importance of this disclosure duty cannot be overemphasized.” *Id.* at 414. A failure to disclose prevents creditors from knowing the true value of a debtor’s assets and, in a bankruptcy sale context, diminishes bidding on those assets.

The doctrine of judicial estoppel therefore protects the legitimacy of the bankruptcy system. As the Sixth Circuit held, “applying judicial estoppel ... recognizes the importance of the bankruptcy debtor’s affirmative and ongoing duty to disclose assets, including unliquidated litigation interests.” *Kimberlin v. Dollar Gen. Corp.*, 520 Fed. Appx. 312, 314 (6th Cir. 2013). Disclosure requirements are “crucial to the effective functioning of the bankruptcy system.” *Burnes v. Pemco Aeroplex*, 291 F.3d 1282, 1286 (11th Cir. 2002) (internal citations omitted). Indeed, as the First Circuit held, failure to disclose potential claims is akin to a strategic move on the part of the debtor to “conceal your claims, get rid of your creditors on the cheap, and start over with a bundle of rights. This is a palpable fraud that the court will not tolerate, even passively.” *Payless Wholesale Distribs., Inc. v. Alberto Culver, Inc.*, 989 F.2d 570, 571 (1st Cir. 1993).

In this case in particular, Complainants sought and obtained approval to sell all their assets to the new purchaser, yet did not disclose amongst those assets nearly \$3 million in FMC claims when counting all of Complainants’ several FMC cases. This means the Bankruptcy Court, creditors, and potential bidders all made decisions regarding Complainants’ asset sale, including

price, whether to object, and whether to bid, without the knowledge of the undisclosed FMC claims. Complainants should not benefit from that non-disclosure now.

For the same reasons, Complainants' new purchaser should not benefit from the non-disclosure either. Undisclosed claims are not included in a sale of assets in a bankruptcy case. In *Upton Creditors, LLC v. MHR Institutional Partners III*, for example, the district court affirmed a bankruptcy court's decision holding that, "the Debtor did not disclose the Claims in his bankruptcy schedules, and thus they were not sold by the Trustee pursuant to the Sale Order." No. 11-34019-BJH-7, 2016 U.S. Dist. LEXIS 5591, at *9 (N.D. Tex. Jan. 15, 2016). The district court noted that in *In re Coastal Plains*, the Fifth Circuit similarly concluded that "claims were not sold, as they were never disclosed and thus not included in the sale order." *Id.* citing *Browning Mfg. v. Mims (In re Coastal Plains, Inc.)*, 179 F.3d 197, 209 (5th Cir. 1999). Here, TZ SSE is even less suited than Complainants to pursue these claims, since allowing it to do so would result in a windfall to TZ SSE that the bankruptcy disclosure requirements are designed to prevent.

B. Complainants cannot remedy their non-disclosure by pointing to boilerplate language that conflicts with the Bankruptcy Code's disclosure requirements.

Complainants are also incorrect that the Asset Purchase Agreement ("APA") sold "all assets" to TZ SSE, even if undisclosed. Complainants contend that the "bankruptcy court approved the sale and purchase of all rights, or causes of action, which Complainants may have against any person with respect to the purchased assets." *See* FMC Doc. No. 28, p.9. However, the provision of the APA to which Complainants refer is mere boilerplate. Boilerplate language in a sale agreement is insufficient to overcome the specific disclosure requirements of 11 U.S.C. § 521, or the case law cited above, and cannot negate the settled rule of law that failure to disclose known claims is "equivalent to a statement that there were no such claims." *Stephenson*, 700 F.3d at 274. If Complainants' argument were correct, Bankruptcy Courts could not possibly assess the merits

of proposed asset sales because boilerplate “catch all” language in motions and sale agreements could disguise millions of dollars in undisclosed assets.

Nor can Complainants overcome their failure to disclose the Laufer assignment by pointing to filings in *this* case as disclosures. Complainants state that they have “disclosed the Assignment of Claims Agreement entered into with Laufer as part of their Motion for Leave to File Amended Verified Complaint.” *See* Opp. to Supp. Mot. p. 12. Yet this does not cure the failure to disclose it in the bankruptcy case before the sale. Disclosure of assets, including an assignment of non-bankruptcy litigation, is required *in the bankruptcy case* to provide adequate information for the Bankruptcy Court and creditors to make decisions. *Oneida* 848 F.2d at 417.

Complainants also cannot escape their deficient asset disclosures based on an oblique mention of Complainants’ law firm in a filing called “Notice of Cure Costs and Potential Assumption and Assignment of Executory Contracts and Unexpected Leases.” Compl. Resp. in Opp. Ex. C. That filing is not an asset schedule, nor does it pretend to be. It is a notice of executory contracts that contains an exhibit with a lengthy list of vendors. The last page of the list identifies two law firms as “Customer,” with no information at all regarding this case:

Impact Products, LLC	Tenzing, LLC & Clark Hill	Agreement between Tenzing LLC, Clark Hill and Supply Source Enterprises for legal advice and representation in connection with the review and enforcement of potential detention and demurrage related claims against the shipping carriers	2100 Georgetown Dr # 302, Sewickley, PA 15143	Customer	-
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The Bankruptcy Court and creditors could not possibly have concluded from this language (if they referred to it at all) that any potential “detention and demurrage related claims” were assets of the estate, much less pending at the FMC, since *no such claims* were listed in the bankruptcy schedules where assets are disclosed. CMA already reproduced excerpts from all of Complainants’ asset schedules, which identify other litigation but not any FMC litigation. And of course, the duty

of disclosure belongs only to the debtor in a bankruptcy case; a Bankruptcy Court does not bear the burden to draw inferences about potential assets from other miscellaneous filings.

Because Complainants never disclosed this case or the Laufer assignment in the bankruptcy case, the assets purchased by TZ SSE did not include the claims here, and neither Complainants nor TZ SSE can continue to prosecute them now.

III. Complainants' assertion that failure to disclose this action was inadvertent does not excuse their obligation to disclose.

For similar reasons, inadvertent omission is not an excuse for failure to disclose because the effect on the bankruptcy proceeding is the same whether the omission was intentional or not: the Bankruptcy Court, creditors, and third-parties all made decisions without adequate information regarding a debtor's assets, so the debtor should not benefit from that non-disclosure. *See Kimberlin* 520 Fed. Appx. at 314. As the Fifth Circuit has held, "[an] inadvertence exception for judicial estoppel would encourage bankruptcy debtors to conceal claims, write off debts, purchase debtor assets at bargain prices, and then sue on undisclosed claims and possibly recover windfalls. This, of course, would be to the detriment of creditors who decided not to bid on the debtor's assets at a foreclosure sale because they lacked knowledge about the existence or value of the undisclosed claims. ... Needless to say, judicial estoppel is intended to prevent just such a process." *Browning Mfg. v. Mims (In re Coastal Plains, Inc.)*, 179 F.3d 197, 213 (5th Cir. 1999) (internal citations omitted). There is simply no place for a *mens rea* requirement in this analysis.

Yet even if there were, Complainants here have done nothing to disclose this case in the bankruptcy proceeding, and their asset sale has already been approved by the Bankruptcy Court without the FMC cases disclosed. In fact, Complainants admit as much in their opposition brief, conceding that "some assets may have been inadvertently omitted due to the volume of assets and liabilities that Supply Source was responsible for disclosing." *See Opp. to Supp. Mot.* p. 10. The

magnitude of their non-disclosure in the FMC context, and hence the windfall they or their successor seek to receive by virtue of that non-disclosure, is nearly \$3 million.²

IV. CMA did not prevent Complainants from meeting their obligations under the Revised Scheduling Order.

Finally, Complainants' assertion that CMA is responsible for their failure to file their opening brief is simply false. CMA has fully complied with its discovery obligations, supplementing its responses three times, and specifically addressing Complainants' concerns about document production in its most recent responses, while cooperating in discussions about a potential corporate deposition. After discussion with CMA, Complainants agreed to withdraw their deposition notice and narrow the scope of their overbroad topics in exchange for an extension of discovery deadlines. Yet Complainants (not CMA) failed to do so and sent CMA the same notice (with the same date), attempting to reengage in the deposition discussions just days before the discovery cutoff, with no changes in the scope of inquiry. Complainants also failed to address the impact of their bankruptcy proceeding, despite repeated requests by CMA to discuss. They alone are responsible for their own deadlines and cannot blame CMA for their failure to comply.

CONCLUSION

For all these reasons, CMA respectfully requests that the Commission dismiss the Complaint in this case with prejudice.

² Nothing in the Bankruptcy Code provides an exception from the duty to disclose when the debtor has many assets and liabilities. To the contrary, "it has been specifically held that a debtor must disclose any litigation likely to arise in a non-bankruptcy contest." *Oneida*, 848 F.2d at 417. Further, "[j]udicial estoppel will be imposed when the debtor has knowledge of enough facts to know that a potential cause of action exists during the pendency of the bankruptcy, but fails to amend his schedules or disclosure statements to identify the cause of action as a contingent asset." *Hamilton v. State Farm Fire & Cas. Co.*, 270 F.3d 778, 784 (9th Cir.2001).

Dated: October 1, 2024

Respectfully submitted,

/s/ W. Ryan Snow

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CERTIFICATE OF SERVICE

I certify that on the 1st day of October 2024, a true copy of the foregoing was served by electronic mail on all counsel of record as follows:

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